

# Alphabet Inc.

GOOGL NASDAQ

Buy

\$374.95 ▲ 0.39%

12M Price Target  
\$420.00

52-Week Range  
\$193.67 – \$408.61

Market Cap  
\$4.59T

## GOOGL: Big Tech Rally Lifts Alphabet to 52-Week Highs

### WHAT HAPPENED

- GOOGL just ripped ~12% in four sessions (\$333 → \$375) — that's a MASSIVE move for a \$4.6T company. The catalyst: Microsoft and Amazon crushed earnings, and the whole Big Tech complex is being re-rated higher as investors decide the AI capex boom is real and profitable, not just a money pit. Tech ETF is up 7.8% in five days — GOOGL is riding that wave.
- A headline flagged Alphabet as "the most profitable company in America" — that's a narrative shift that matters. For years the story was "Google spends too much on moonshots." Now it's "Google prints more cash than Apple." That reframing supports multiple expansion.

### WHY IT MATTERS

The options market is screaming bullish — call volume is 2.4x put volume with unusual call buying clustered right at current prices (\$372-377 strikes), meaning traders are betting on MORE upside in the next few weeks, not fading the rally. But here's the tell: insiders sold at \$333 last week — they left ~\$40/share on the table, which suggests these were scheduled 10b5-1 sales, not conviction dumps. The bigger picture: with Microsoft/Amazon confirming that hyperscaler AI spending is translating to actual revenue, GOOGL's Cloud segment (the most under-appreciated part of the story) is about to get re-rated. YouTube going after Netflix is the second leg — if they push into premium streaming content, that's a whole new revenue stream the Street hasn't fully modeled.

### POLICY & POLITICAL WATCH

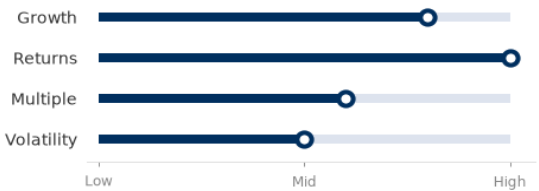
The big overhang is still the DOJ antitrust case on Search — remedies are being negotiated, and the Trump administration's DOJ has signaled a more pragmatic stance than Biden's team (less likely to force a Chrome or Android breakup, more likely to accept behavioral remedies). That's a quiet tailwind that the market may be starting to price in. Also watch the CHIPS Act implementation and any AI executive orders — the administration's "AI Action Plan" from mid-2025 explicitly favors American AI champions, which is a moat for GOOGL against Chinese competitors and a green light for federal cloud contracts. The wildcard: any EU Digital Markets Act escalation or state-level AI regulation could clip ad-targeting revenue.

### IS IT EXPENSIVE?

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$374.95 |
| 12M Price Target    | \$420.00 |
| Upside / (Downside) | +12.0%   |
| Market Cap          | \$4.59T  |
| FY2026E Revenue     | \$415M   |
| FY2027E Revenue     | \$470M   |
| FY2026E EPS         | \$9.85   |
| FY2027E EPS         | \$11.40  |
| Fwd P/E             | 38.1x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$395.00  | \$380.00  | \$355.00  |
| 6 Months  | \$430.00  | \$400.00  | \$340.00  |
| 1 Year    | \$460.00  | \$420.00  | \$320.00  |
| 2 Years   | \$540.00  | \$470.00  | \$300.00  |
| 5 Years   | \$750.00  | \$600.00  | \$280.00  |
| 10 Years  | \$1200.00 | \$850.00  | \$250.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Technology (+7.8% 5D) is on fire post-earnings — the AI trade got validated by MSFT/AMZN numbers. Consumer Discretionary (+4.7% 5D) is riding along on the "soft landing" narrative.

**COOLING OFF:** Communication Services is oddly RED on the day (-0.23%) despite GOOGL being up — that's because GOOGL is now behaving more like a tech stock than a comm services stock in flow terms. Materials is weak (-2% 5D) on tariff/China worries.

**ROTATION WATCH:** Money is aggressively rotating from defensive sectors into mega-cap tech as earnings de-risk the group. This is a "chase the winners" tape — and GOOGL was the laggard, so it has catch-up room.

**RELATED PLAY:** If GOOGL Cloud accelerates, the picks-and-shovels winners are the data center REITs (EQIX, DLR) and the power infrastructure names (VST, CEG) — AI training farms need insane amounts of electricity.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Up ~25% in three days post-earnings — Azure growth reaccelerated on AI workloads, validating the entire hyperscaler thesis.
- AMZN (Amazon): AWS reacceleration + retail margins expanded, proving the AI capex is monetizing.

**GOOGL CONTEXT:** GOOGL is LAGGING MSFT's 25% three-day rip — Alphabet only did ~12%. That's actually bullish setup: same tailwinds, less-crowded trade, cheaper multiple. If the Street believes Google Cloud has the same trajectory as Azure, this is the catch-up trade.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**Position Size:** 5-8% of portfolio

**Entry Points:** \$355-365 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Adverse DOJ antitrust remedy forcing Chrome/Android divestiture, or Search revenue declining >5% YoY from AI disruption

**Hedging:** Buy protective puts at \$340 strike, or pair with a short position in a richer-multiple AI name